

HISTORY OF THE ENVIRONMENT IN ECONOMIC THOUGHT

HEKA22—Lecture 3

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Learning Objectives

 By the end of today's lecture you should:

1. Be able to list the main historical figures that have shaped ecological and mainstream economics
2. Be able to understand key economic ideas to describe human use of nature and differentiate them based on their historical origins
3. Be able to create requirements for new economic theories based on ecological insights

Classical Economics

Economics grows out of moral philosophy 1750–1870

The economy as flow from nature



The economy as flow from nature



François Quesnay

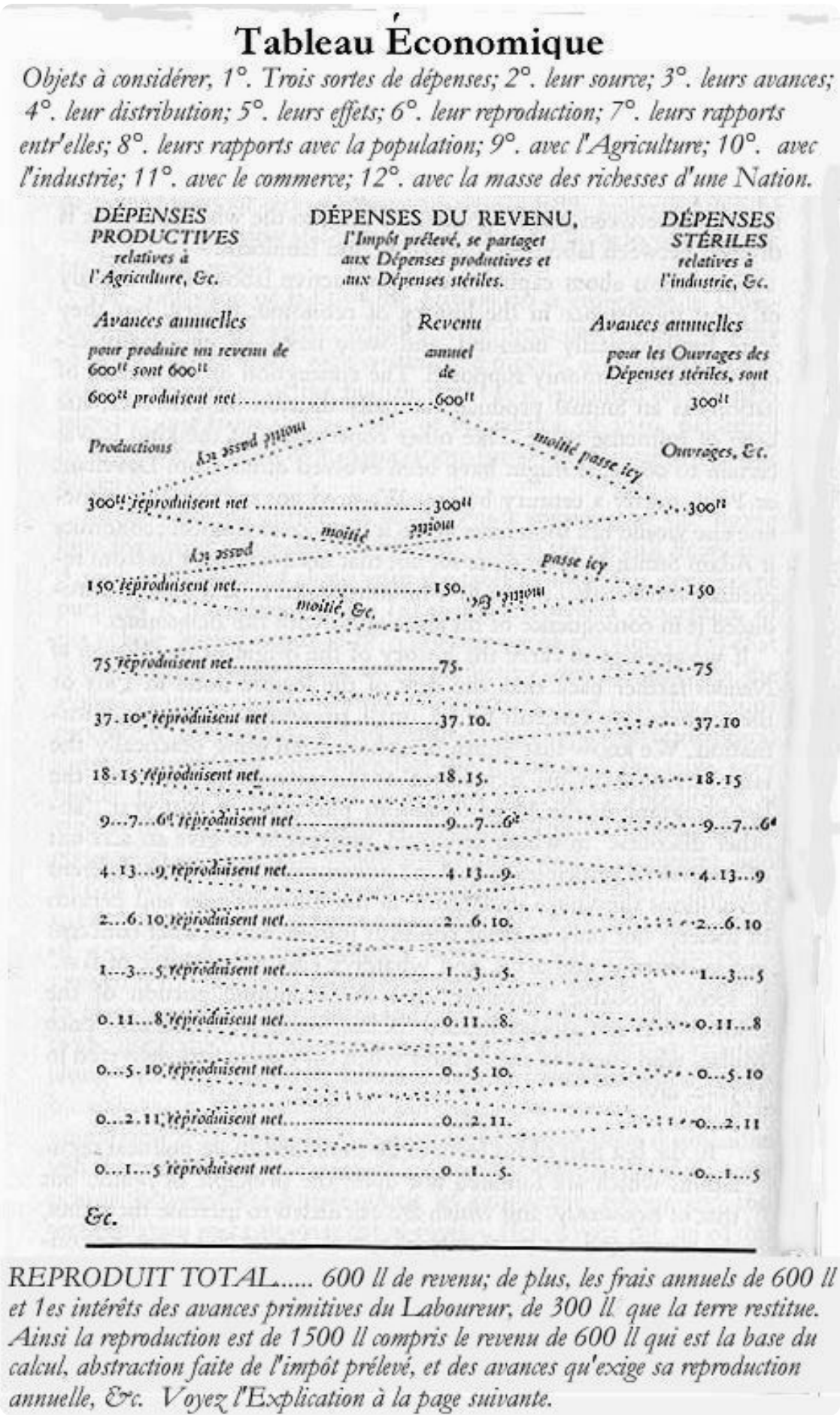


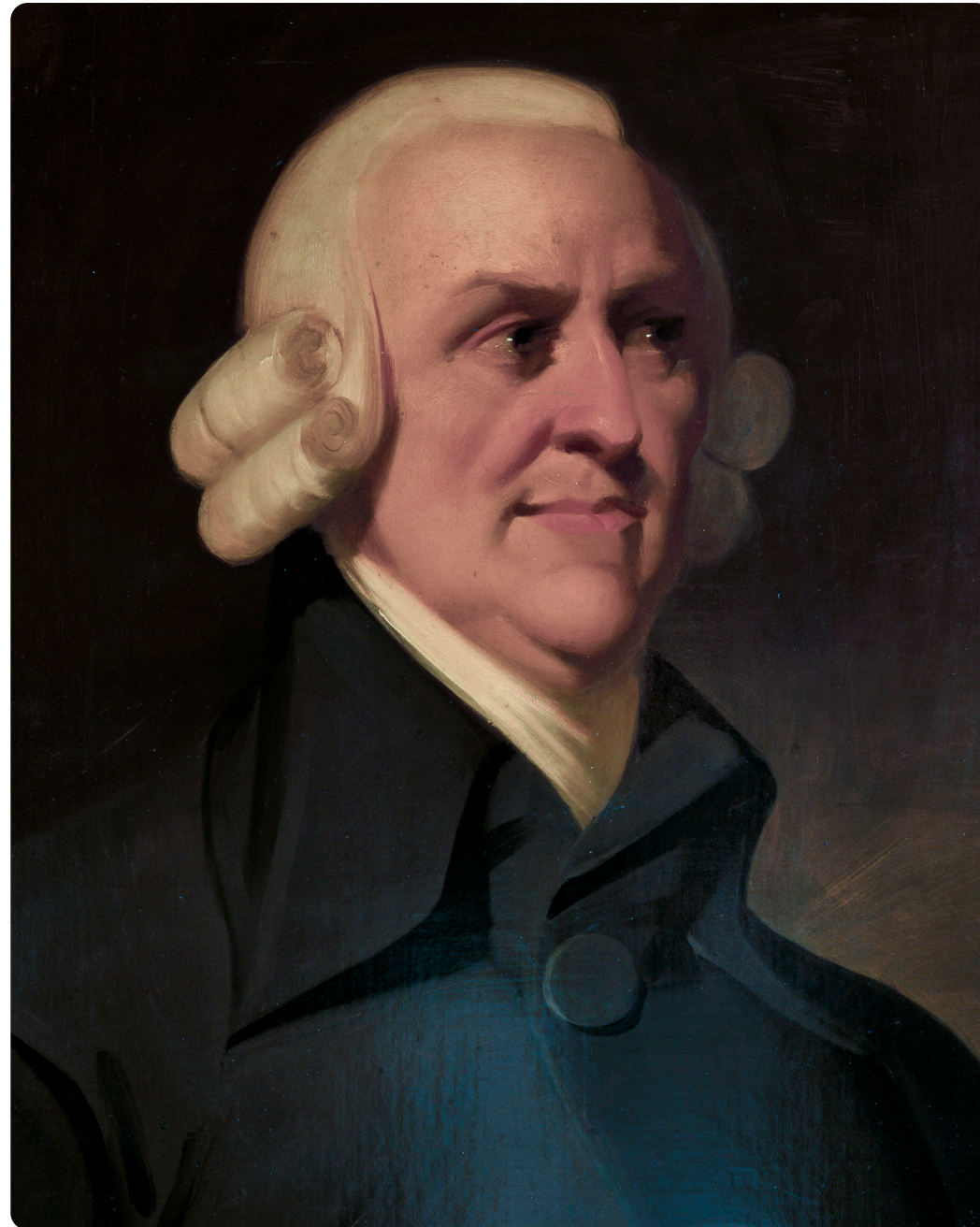
Tableau économique (1758)

The Wealth of Nations: Gold or People?



"Ivan the Terrible Showing His Treasures to English Ambassador Jerome Horsey" – Alexander Litovchenko

The Wealth of Nations: Gold or People?



Adam Smith — Muir portrait, c. 1800

“It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest.

Smith, *Wealth of Nations* (1776), Bk I, Ch. II

The first model of limits



Paul Louis Delance - Esquisse pour le cabinet du préfet de l'Hôtel de Ville de Paris , La Famine

The first model of limits



Malthus — portrait by John Linnell, 1833

“Population, when unchecked, increases in a geometrical ratio. Subsistence increases only in an arithmetical ratio.

Malthus, *Essay on the Principle of Population* (1798), Ch. 1

Rent and the marginal-land logic

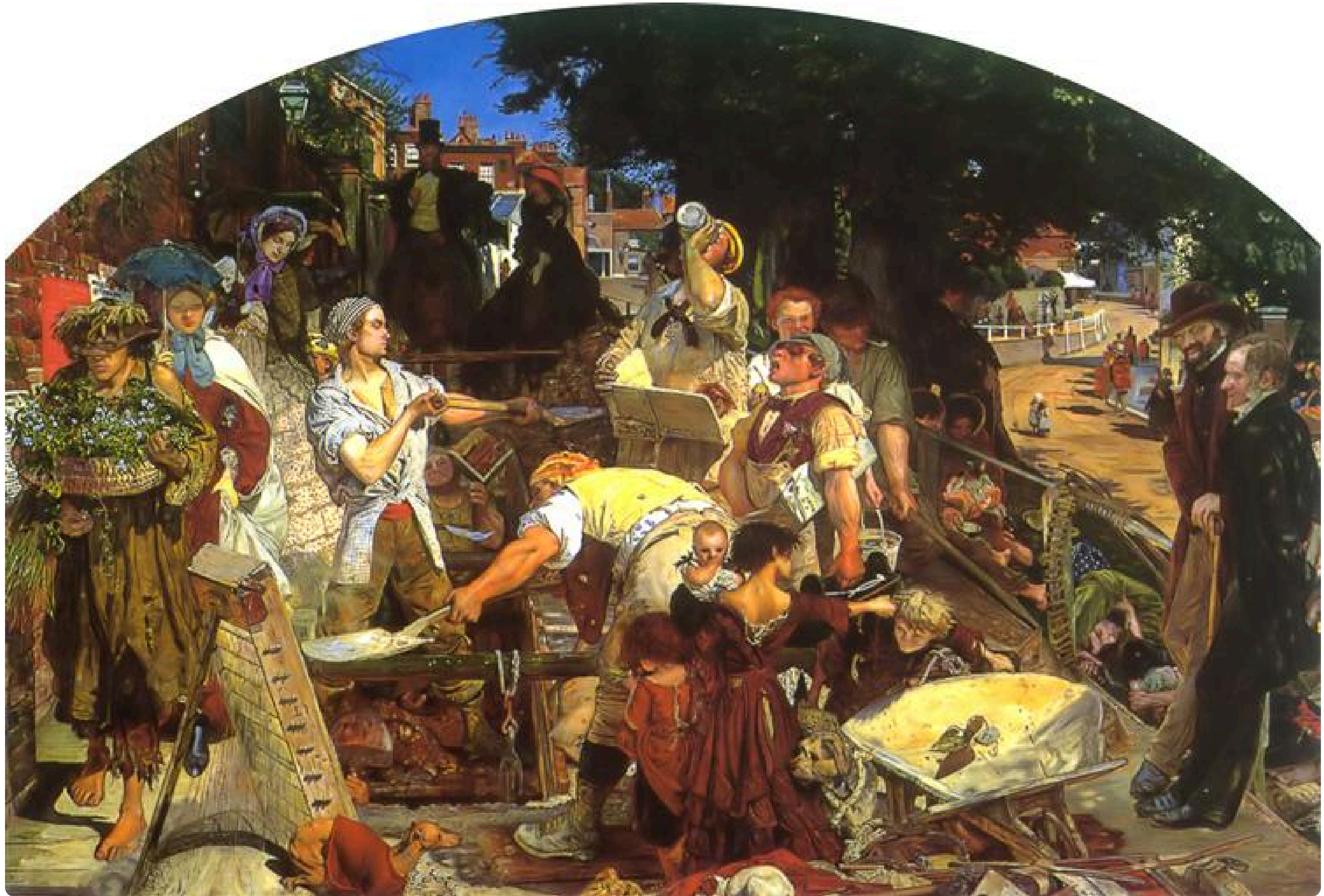


Ricardo — portrait by Thomas Phillips, 1821

“Rent is paid to the landlord for the use of the original and indestructible powers of the soil.

Ricardo, *Principles of Political Economy and Taxation* (1817), Ch. II

The stationary state



Work (1852–65), Ford Madox Brown

The stationary state



J.S. Mill — photograph by John Watkins, c. 1865

“A stationary condition of capital and population implies no stationary state of human improvement.

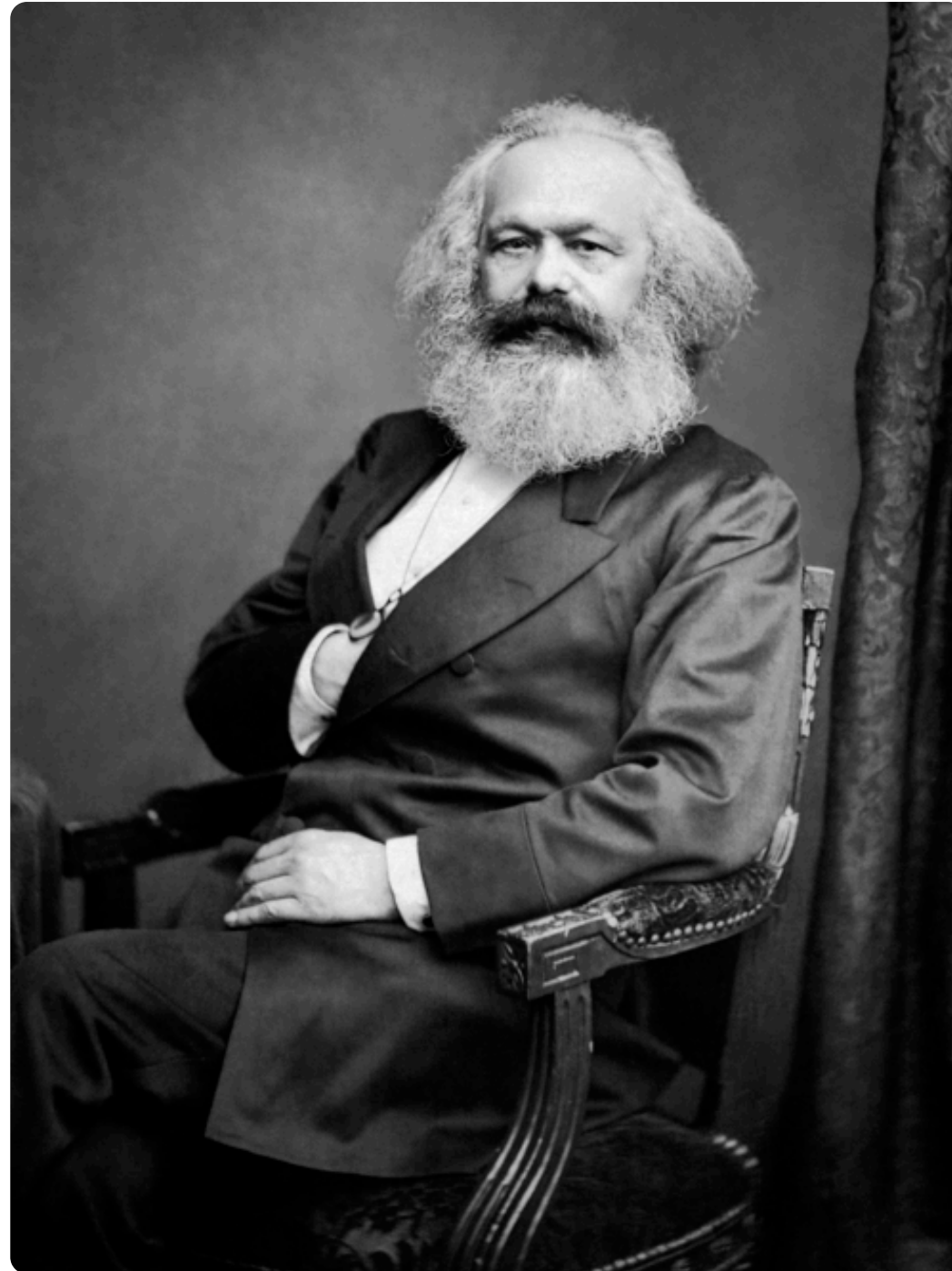
Mill, *Principles of Political Economy* (1848), Bk IV, Ch. VI, §2

The metabolic rift



Adolph von Menzel (1815–1905), *The Iron Rolling Mill* (1875)

The metabolic rift



Marx — photograph by John Mayall, 1875

“Capitalist production... disturbs the metabolic interaction between man and the earth.

Karl Marx, *Capital*, vol. 1 (London: Penguin, 1976), 637–38

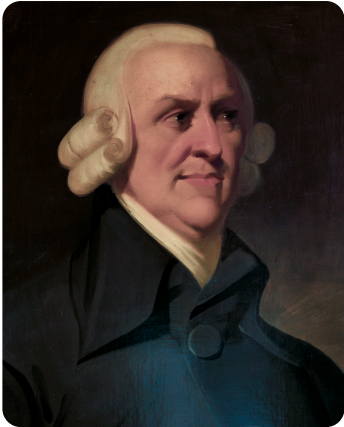
Three theories of value

Land



Physiocrats

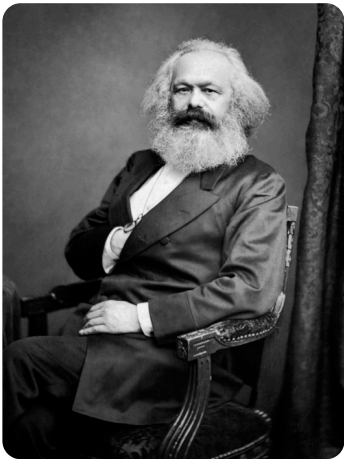
Labor



Adam Smith — Muir portrait, c. 1800



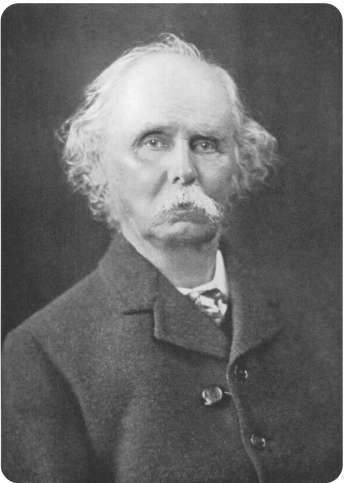
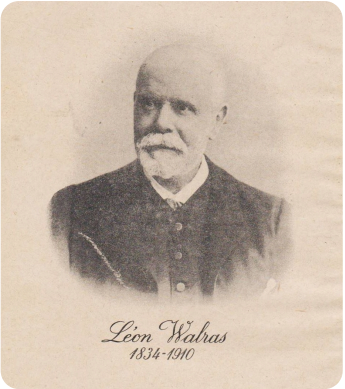
Ricardo — portrait by Thomas Phillips, 1821



Marx — photograph by John Mayall, 1875

Smith, Ricardo, Marx

Utility



(coming next)

The “Marginal Revolution”

1870–1950

Physics envy and the utility move

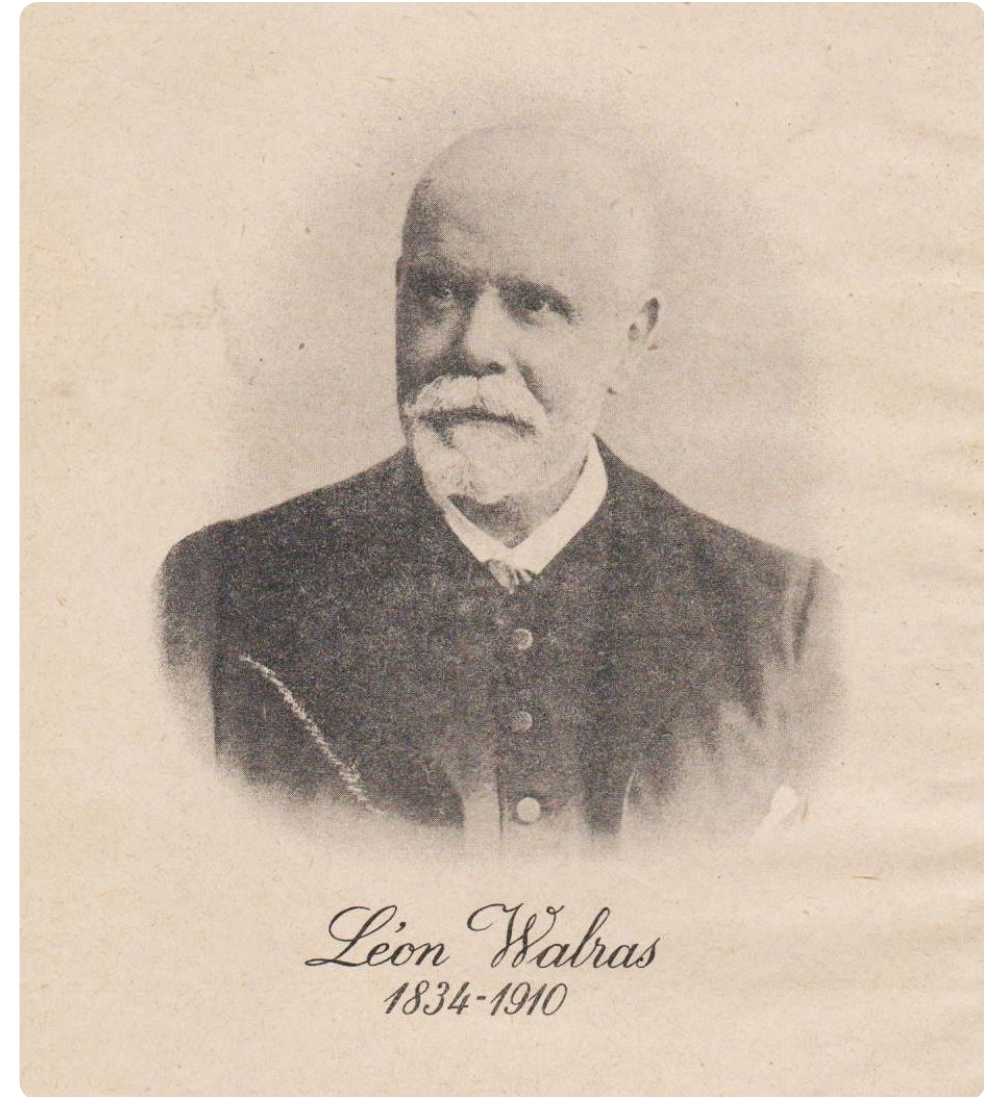


Jevons

“The Theory of Economy... presents a close analogy to the Science of Statical Mechanics.

Jevons (1871), Preface

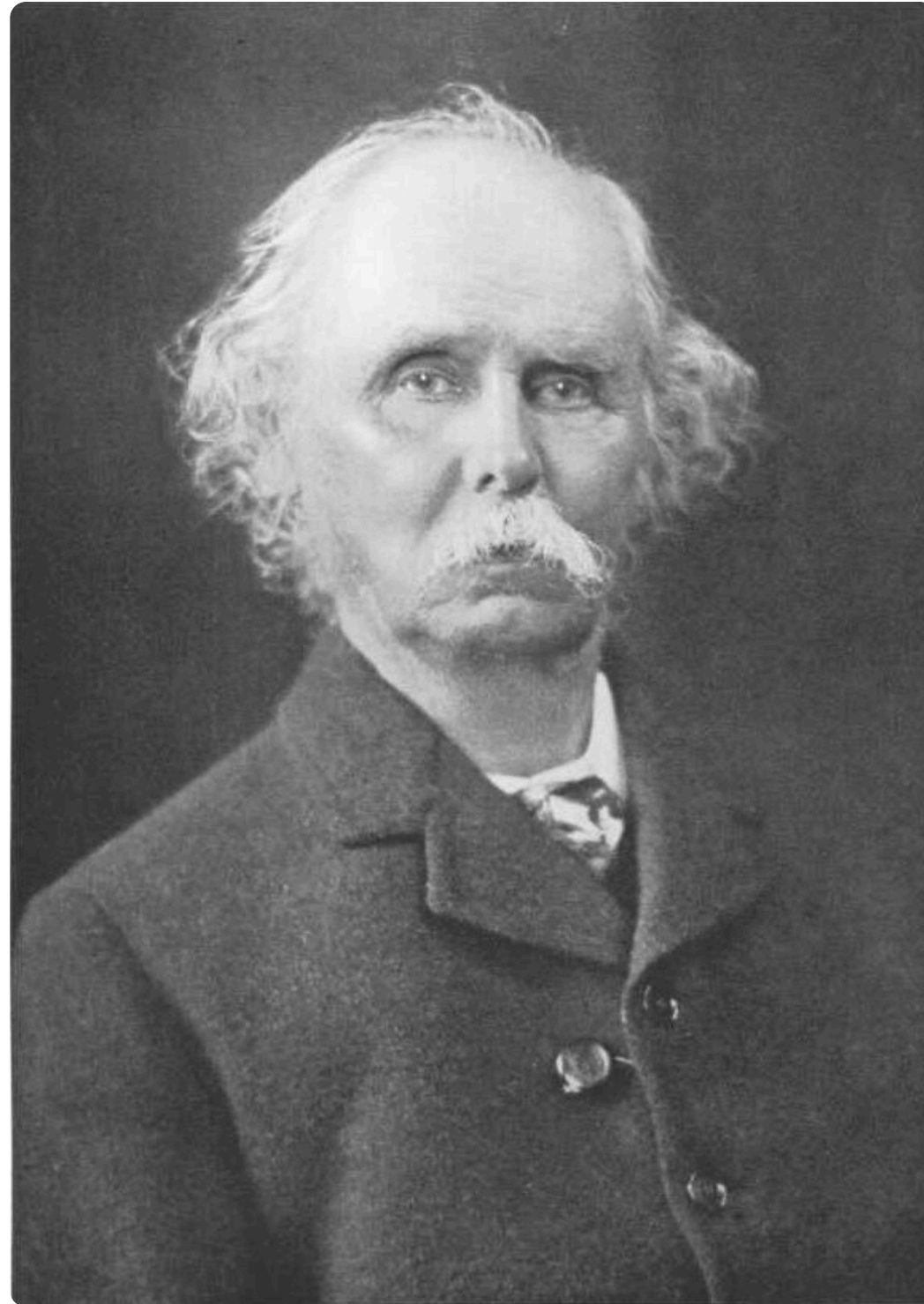
Walras (1874), §30



Walras

“The pure theory of economics... resembles the physico-mathematical sciences in every respect.

Equilibrium



Marshall — photograph c. 1890

“We might as reasonably dispute whether it is the upper or under blade of a pair of scissors that cuts a piece of paper.

Marshall, *Principles of Economics* (1890), Bk V, Ch. III

What faded away

- 1. Land
- 2. Materiality
- 3. Morality

The externality patch



A.C. Pigou — photograph c. 1925

“One person A, in the course of rendering some service, for which payment is made, to a second person B, incidentally also renders services or disservices to other persons . . . , of such a sort that payment cannot be exacted from the benefited parties or compensation enforced on behalf of the injured parties

Pigou, *The Economics of Welfare* (1932)

Re-entry of nature

1920s–1980

From cowboy to spaceship



Illegal dumping area — photograph c. 1970

From cowboy to spaceship



Kenneth Boulding — photograph c. 1965

“Earth has become a single spaceship, without unlimited reservoirs of anything, either for extraction or for pollution.

Boulding, “The Economics of the Coming Spaceship Earth” (1966)

The entropy law

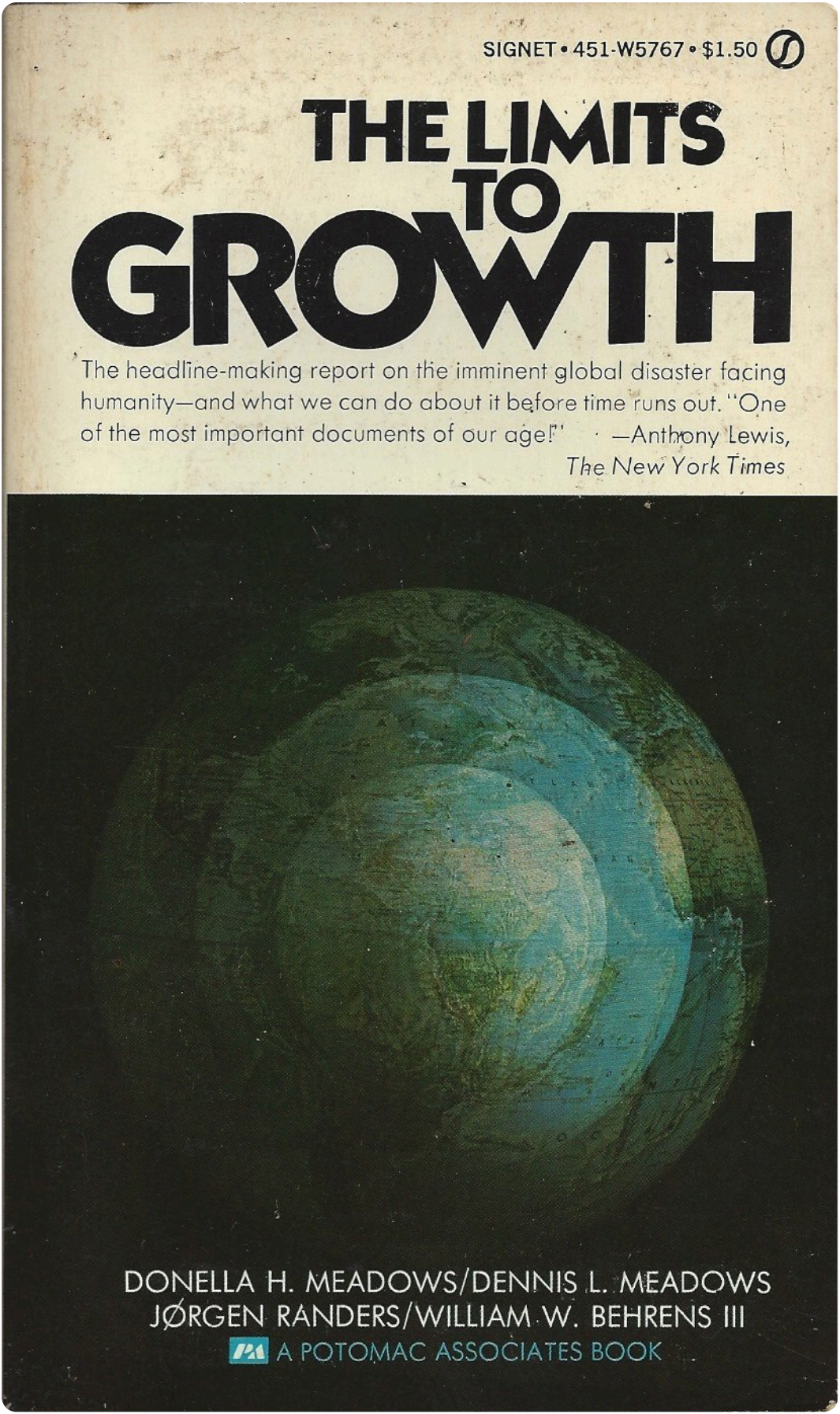


N. Georgescu-Roegen — photograph c. 1975

“Perhaps, the destiny of man is to have a short, but fiery, exciting and extravagant life rather than a long, uneventful and vegetative existence.

Georgescu-Roegen (1971); cf. “Energy and Economic Myths” (1975)

Limits to Growth



The Limits to Growth — original 1972 cover

The steady state, revived



Herman Daly — photograph c. 1995

“Instead the economy is a subsystem of the finite biosphere that supports it.

Daly, *A steady-state economy* (2008)

Making a Neoliberal World

1947–today

Markets as information



Milton Friedman — photograph 1986

“Only a crisis — actual or perceived — produces real change. When that crisis occurs, the actions that are taken depend on the ideas that are lying around. That, I believe, is our basic function: to develop alternatives to existing policies, to keep them alive and available until the politically impossible becomes the politically inevitable.

Friedman, *Capitalism and Freedom* (1982 [1962]), Preface

Mont Pèlerin and the long game



Mont Pèlerin Society, founding meeting, 1947

Where this leaves us

Each toolkit answered the questions of its time

What should 21st-century economics deliver?